THIS DOCUMENT IS THE PROPERTY OF HIS BRITANNIC MAJESTY'S GOVERNMENT

Printed for the Cabinet. May 1951

SECRET

Copy No. 31

C.P. (51) 137
23rd May, 1951

CABINET

JAPANESE PEACE TREATY

MEMORANDUM BY THE SECRETARY OF STATE FOR FOREIGN AFFAIRS

Background

On 23rd April (C.M. (51) 30th Conclusions, Minute 4) the Cabinet authorised me to arrange for preliminary discussions to be held with the United States Government regarding a Japanese Peace Treaty, and agreed that, subject to certain modifications, the proposals in my memorandum of 16th April (C.P. (51) 104) could be adopted as guidance for our representatives in these preliminary discussions.

The Talks in Washington

2. The talks with United States officials were accordingly held in Washington from 25th April until 4th May, and their results were briefly as follows.

3. On the contents of the Treaty, our representatives, acting on instructions, reserved the United Kingdom position on the following points: the disposal of Formosa; Japanese claims in the Antarctic; the future status of the Ryukyu and Bonin Islands; war criminals; fisheries; the initial date for purposes of certain of the property clauses in the Treaty (the United States wish to take the date of Pearl Harbour as a starting point, while we have technical reasons for wishing to start in some cases from the date of the outbreak of war with Germany); Allied property in Japan; Japanese gold, and assets in neutral and ex-enemy countries; the wording of the clause about general economic relations (although the Americans had in fact come some way to meet us on this); the civil aviation clause; and the disputes clause.

4. The United States representatives accepted the substance (though not necessarily the form) of our views on the following points: the end of the occupation; the renunciation by Japan of her rights in renounced territories; the renunciation of her rights under certain international agreements (with United States reservations about the Congo Basin Treaties and the Bank for International Settlements, on which they have promised us an early expression of their views); Japanese debts; pre-war claims against Japan; renunciation of claims by Japan against Germany; German property in Japan; industrial, literary and artistic property; insurance, contracts, prescriptions and negotiable instruments; prize courts and judgments. The United States representatives also accepted our view about the multilateral agreements and conventions to which Japan should adhere or continue to adhere, but preferred that this should be dealt with in a separate protocol attached to the Treaty containing a voluntary declaration to the desired effect by the Japanese Government. The Americans also accepted our provision about War Graves, but would like this too to take the form of a separate voluntary declaration by Japan. There seems to be no objection to the United States proposal on either of these questions.

5. Apart from these points, our representatives reached agreement with the United States in substance on various questions (specified in paragraph 5 of C.P. (51) 104) where they had authority to meet the view of the United States Government, including, in particular, the omission of the war guilt clause which had figured in the previous United Kingdom draft. As regards the limitation of Japan's shipbuilding capacity, about which we had previously reserved our position while agreeing to its omission from the draft Treaty, the United States Government

expressed general agreement with our view that Japan should be induced voluntarily to limit her shipbuilding capacity, and they are now considering how effect can best be given to this.

6. The talks thus narrowed, but did not eliminate the area of disagreement on the substance of the Treaty. They resulted in a tentative and partially agreed draft in which all the necessary reservations by both sides were noted down. A copy of this draft is attached at Annex A. The United Kingdom and United States contributions to this draft are side-lined in the left and right-hand margins respectively; as will be seen, they are fairly evenly balanced, and in length the document is somewhere between the original United Kingdom and United States drafts. (Passages which are not side-lined are those which either were common to both sides, or emerged as a result of the discussion.) The representatives on both sides made it clear that the results of the talks were subject to approval by their respective Governments.

7. As regards procedure, our representatives had a talk with Mr. Dulles, who took note of the proposals approved by the Cabinet (Annex C of C.P. (51) 104) and expressed general agreement, though he said he would like to think certain points over further.

8. Mr. Dulles also raised the problem of Chinese participation and the disposal of Formosa. He seemed to realise the force of our case against the inclusion of the Chinese nationalists in the peace settlement, and took due note of the point that, in order to prevent this, I might, without commitment, even be prepared to recommend to my colleagues that neither of the two Chinese Governments should sign the Treaty, leaving open the question of their accession later. Mr. Dulles said that as soon as the present emotional state of congressional opinion allowed, he would start exploring the possibility of a solution on these lines. (We know confidentially from Mr. Allison that in fact Mr. Dulles and the State Department are both attracted by the idea of a compromise solution on the lines suggested by the Canadian Government (see paragraph 19 below). Mr. Dulles agreed that the Formosa clause should present no difficulties once the Chinese problem had been solved.

9. The general effect of the talks seems to have been to clear up the atmosphere and dispel certain suspicions which were beginning to form on the United States side to the effect that, despite our protestations to the contrary, we might in fact be trying either to delay the Peace Treaty or to give it a restrictive and illiberal character. The talks seem to have convinced the United States Government that in this important Far Eastern matter it was possible for British and Americans to work together as a team.

The Next Stage

10. After consultation among the Departments concerned at the official level, I now recommend that the draft of the Treaty (Annex A) should be generally approved, subject to the clearing up of certain drafting and other minor points, which is already in hand. Among the points still outstanding those which raise questions of policy are further discussed in Annex B. On these questions I invite my colleagues to agree that:—

(*a*) We should accept the United States proposal that the United States should continue to administer the Ryukyu Islands south of 29° North latitude, the Bonin Islands, including Rosario Island, the Volcano Islands, Parece Vela and the Marcus Islands, pending the making of any proposal by the United States to the United Nations to place these islands under its trusteeship system; and that the Treaty should not provide for Japan to renounce her sovereignty over these islands.

(*b*) As further discussion in Washington has failed to move the United States Government from their attitude on this point, we should no longer seek to insist that stocks of Japanese gold should be made available as reparations. (It has not been found possible to reach agreement on this recommendation with the Treasury at the official level.)

(*c*) We should not accept the United States contention that Japan should be allowed, by the absence of any provision to the contrary in the Treaty, to retain the ownership of her assets in neutral countries, unless Japan were obliged to pay the Allies a sum of about $20 million to cover their value, out of which His Majesty's Government would expect to receive

immediately the value of the Swiss francs held by Japan in Switzerland in respect of payment for the relief of prisoners of war.

(*d*) If the United States persist in their view that the disputes clause of the Treaty should not make any provision for claims disputes arising out of of the Treaty to be settled by a special neutral tribunal, we should not press our contrary view further, since the formula in article 21 of the draft at Annex A would in fact not rule out the reference of claims disputes to a neutral tribunal by agreement between the State concerned and Japan.

(It is possible that the further clarification of the United States attitude which is still proceeding may reveal further points which will have to be submitted to the Cabinet subsequently for decision, *e.g.*, on the Congo Basin Treaties or an Allied property in Japan.)

The decisions of the Cabinet on these points will be included in a brief for the guidance of our representatives in the next round of informal discussions with the United States Government, which will be held when Mr. Dulles comes to London on 2nd June. It is hoped that these talks may resolve the outstanding points of difference.

11. In the discussion on procedure referred to in paragraph 7 above, Mr. Dulles reverted to his earlier suggestion about *the desirability of circulating a joint United Kingdom–United States draft* to all the other Governments concerned. In so doing he made it clear that he could not commit the United States Government to the suggestion. He seemed favourably disposed towards it himself, however, and it may be thought that in order to be prepared for any official United States proposal in this sense, His Majesty's Government on their side should consider its desirability. The following considerations arise:—

(*a*) Any draft which may be agreed with Mr. Dulles would in fact be a joint United Kingdom–United States effort. This being so, there seems to be no reason why we should hide our light under a bushel or try to conceal the very considerable influence which we have had on the shape of the peace settlement as it is beginning to emerge.

(*b*) Our association with the United States as one of the two principal drafting Powers would be good for our credit in all parts of the world, particularly in the Pacific and Far East, where it would help to correct any misunderstandings which may be current about our non-participation in the Pacific Defence Pact.

(*c*) Given the number of difficult questions at issue between ourselves and the United States at this moment, particularly on Far Eastern questions, it may be thought that it would be useful in both countries to advertise the fact that here is one important Far Eastern matter on which both countries have been able to co-operate on an equal and harmonious basis.

(*d*) If the objection is raised that our association in a joint draft with the United States suggests that we are hanging on the Americans' coat-tails, the answer can be made that in any case the fact of our consultations with the Americans on the subject is known, and that if any resulting document was not a joint one this would savour far more of American predominance than a joint draft would.

(*e*) It may also be objected that the Japanese Government, who have unofficially been shown the previous United States draft, would find the new draft less satisfactory to themselves and, if it was a joint one, would blame us for this, so that our future relations with them would suffer. This is clearly not a consideration which should deflect us from our course, and in any case the Japanese would be able to guess that the differences between the United States draft and any new one, even if not circulated as a joint one, were in fact due to our influence.

(*f*) It must be recognised that, in sponsoring such a draft, the United Kingdom Government may, on certain issues, be committing themselves publicly to policies which will be opposed by some Commonwealth Governments. For example, the Government of Australia may not agree to the proposal regarding Japanese gold in Annex B. The Government of India may not agree with our views on procedure (Article 13). It is, however, inevitable that, at some stage, we must face these issues, and the present would seem to be a suitable stage. We have, of course, been in close

consultation with Commonwealth Governments throughout, and they know our present position fully. We shall also keep them closely informed of the progress of the forthcoming talks with Mr. Dulles in London.

12. In view of these arguments, I recommend that we should endeavour to arrange that any agreed draft which may emerge from further discussions with the United States should be circulated to the other Governments concerned as a joint document on behalf of both our Governments.

13. As regards the programme of work on the basis of the proposals approved by the Cabinet on 23rd April (C.P. (51) 104, paragraph 8), I recommend that the next steps should be as follows:—

(*a*) Talks with Mr. Dulles in London in the first week of June, aimed at eliminating the outstanding points of difference and producing a draft with which we can both agree.

(*b*) Circulation of this document (if possible as a joint United Kingdom–United States draft) to all the countries at war with Japan (as regards the special position of China please see paragraphs 18–20 below) with an explanation that it has been drafted after consultations with the principal Parties to the Peace Settlement, and with a request for comments within a month.

(*c*) Discussions, probably in Washington on drafting the final text.

(*d*) Reference back to Governments for approval.

(*e*) Signature of the Treaty, possibly in Washington, though this has not been settled.

(*f*) Ratification.

14. As regards publicity, Mr. Dulles has suggested that two or three days after the draft Treaty has been communicated to all the Governments concerned as at (*b*) in paragraph 13 above, its text should be officially released in order to forestall leakages. I agree with this proposal. I also recommend that, shortly before or simultaneously with the release of the text, a full statement should be made in Parliament explaining the policy of His Majesty's Government on those points in the Treaty which are of most concern to public opinion in the United Kingdom. In advance of this, it may also be considered desirable to make a short statement regarding the talks in Washington and the visit of Mr. Dulles at the first opportunity after Parliament reassembles.

15. As regards consultation with Commonwealth and other interested Governments, the Commonwealth representatives in Washington were kept fully informed of the progress and result of the talks.

16. I recommend that Commonwealth Governments should be informed at once of the instructions which we propose to give to our representatives at the talks with Mr. Dulles, and that their representatives in London should be kept fully informed regarding the progress of the talks. I also consider that it would be desirable that the United States Government (and His Majesty's Government if associated with them on a joint basis), in circulating any draft which may be agreed on in the talks with Mr. Dulles, should explain that this document is the result of consultation with all the principal parties to the Treaty, which, in fact, includes all the Commonwealth countries (except South Africa) as well as France and the Netherlands.

17. The French and Netherlands Governments are being informed in general terms of the results of the talks in Washington and I recommend that we should similarly inform them of the results of the talks with Mr. Dulles.

Chinese Participation

18. My colleagues will recall that they decided on 22nd March that the United States Government should be informed that in the view of His Majesty's Government the Central People's Government of China should be invited to participate in any negotiations for the conclusion of a Peace Treaty with Japan; the Cabinet felt that an unequivocal communication in this sense should be made to the United States Government, and that at that stage it would be undesirable for us to engage in hypothetical discussions with the United States Government regarding the possibility of a compromise solution (C.M. (51) 22nd Conclusions, Minute 3). His Majesty's Ambassador in Washington made representations to the United States

Government accordingly on 30th March and on 12th April he received an aide-mémoire in reply stating that the United States Government did not see how, in so far as it was concerned, the views of His Majesty's Government could be implemented. The matter was considered further by the Cabinet on 23rd April (C.M. (51) 30th Conclusions, Minute 4) and in the sense of that discussion I instructed our representatives at the talks in Washington to explore the matter further with the State Department, and if it appeared that there was a serious risk of the association of the Chinese Nationalists with the Treaty, to discuss on an informal and non-committal basis the possibility of a compromise solution on the lines of that outlined in the next paragraph. As will be seen from paragraph 8 above, Mr. Dulles's reactions in the tentative discussion of this problem with our representatives were not altogether discouraging.

19. By way of a compromise the Canadian Government have made the following proposal to the United States Government and His Majesty's Government. They consider that the lack of unanimity among the Governments most concerned in the Japanese Peace Treaty on the question of the proper Chinese signatory poses a major problem, and they are also concerned with the effect of this problem on the future relationship between Japan and China; they feel that it might be undesirable from the point of view of future stability in the area that Japan be bound to accept the signature of any Chinese Government, upon which the opinion of the Allied Powers is divided, to a Treaty with such important implications for itself and China. The Canadian Government agree that an early Peace Treaty with Japan is desirable. For this reason, and because of the difficulties already mentioned, they suggest that while provision be made in the Treaty for signature on behalf of China, the signature be delayed for the present. An accession clause could be included in the Treaty under which China might later accede.

20. This proposal seems to me to have much to recommend it and I consider that it deserves serious study. I suggest to my colleagues that, having put our views about the desirability of an approach to the Central People's Government of China on record, and having, as they will recall, received a negative response from the United States Government, the next stage should be to consider the question on an immediate working basis, and that from this point of view the most important object is not to bring the Central People's Government into the peace settlement, which in fact would almost certainly be impossible owing to their own attitude, as well as to the attitude of the United States, but to prevent the United States from insisting on Chinese nationalist participation, which up to now has appeared only too likely. I therefore recommend that in the talks with Mr. Dulles our representative should be authorised to explore the situation further, and if it appears that the United States Government may be willing to leave the nationalists out of the peace settlement, that on that understanding we should no longer insist on the participation of the Central People's Government, but that there should be an accession clause providing for China to accede to the Treaty when certain specific conditions, requiring a more general measure of agreement among the other signatories on Chinese and Far Eastern questions generally, have been fulfilled.

Formosa

21. As regards *Formosa,* the wording of the relevant clause will depend on the solution of the problem about Chinese participation. It will be recalled that hitherto we have maintained that the Treaty should state that Japan cedes Formosa to China, while the United States Government have contended that the Treaty should simply sever Japan's connexion with Formosa without specifying what should become of it. Assuming, for the sake of argument, that the Americans were to insist on the Chinese nationalists participating in the Treaty, it would then clearly be undesirable for Japan in the Treaty to cede Formosa to China, for although in law the cession would be to China as a State, the practical effect would be to legalise Chiang Kai Shek's hold on Formosa. Consequently, if it appeared that there was a serious likelihood of the Chinese nationalists being associated with the Treaty, it may be thought that we should reconsider our previous view and agree with the United States that the Treaty should provide only for Japan's renunciation of her sovereignty over Formosa, without any mention of cession to China. If, however, the nationalists are not allowed to participate in the Treaty, then it may be thought that we should maintain our view that the Treaty should provide not only for renunciation by Japan but for cession to China, with some appropriate suspensory provision which in

effect reserved the position of the signatories on the interpretation of this clause. The fact is that, as regards policy, we and the Americans are agreed that a decision on Formosa must be delayed pending some form of Far Eastern settlement, and that as long as China is obstructing the fulfilment of the Cairo Declaration in respect of Korea, she cannot expect to receive any benefits under the Cairo Declaration in respect of Formosa. It should be possible, given agreement on Chinese participation, to find a formula which would fit this agreed policy on Formosa into the framework of the Treaty.

22. I invite my colleagues to agree to the proposals set out above.

H. M.

Foreign Office, S.W. 1,
23*rd May,* 1951.

SECRET

ANNEX A

JOINT UNITED STATES/UNITED KINGDOM DRAFT OF A JAPANESE PEACE TREATY PREPARED DURING THE DISCUSSIONS IN WASHINGTON, APRIL–MAY 1951

[United Kingdom contributions are single sidelined; United States contributions are double sidelined.]

PREAMBLE

..... hereinafter referred to as "the Allied Powers," of the one part, and Japan, of the other part;

Whereas the Allied Powers and Japan are resolved that henceforth their relations shall be those of nations which, as sovereign equals, co-operate in friendly association to promote their common welfare and to maintain international peace and security, and are therefore desirous of concluding a Treaty of Peace which will settle questions still outstanding as a result of the existence of a state of war between them and will enable Japan to carry out her declared intentions to apply for membership in the United Nations Organisation and in all circumstances to conform to the principles of the Charter of the United Nations; to strive to realise the objectives of the Universal Declaration of Human Rights; to seek to create within Japan conditions of stability and well-being as defined in Articles 55 and 56 of the Charter of the United Nations and already initiated by post-war Japanese legislation; and in public and private trade and commerce to conform to internationally accepted fair practices;

Whereas the Allied Powers welcome the intentions of Japan set out in the foregoing paragraph;

Have therefore agreed to conclude the present Treaty of Peace, and have accordingly appointed the undersigned Plenipotentiaries, who, after presentation of their full powers, found in good and due form, have agreed on the following provisions.

Chapter I.—Peace

ARTICLE 1

The state of war between Japan and each of the Allied Powers is hereby terminated as from the date on which the present Treaty comes into force between Japan and the Allied Power concerned.

Chapter II.—Territory

ARTICLE 2

Japan renounces all rights, titles and claims to Korea (including Quelpart, Port Hamilton and Dagelet), [Formosa and the Pescadores]; and also all rights, titles and claims in connexion with the mandate system [or based on any past activity of Japanese nationals in the Antarctic area]. Japan accepts the action of the United Nations Security Council of 2nd April, 1947, in relation to extending the trusteeship system to Pacific Islands formerly under mandate to Japan.

(United Kingdom reserves position on passages between square brackets.)

ARTICLE 3

Japan will concur in any proposal of the United States to the United Nations to place under its trusteeship system, with the United States as the administering authority, the Ryukyu Islands south of 29° north latitude, the Bonin Islands, including Rosario Island, the Volcano Islands, Parece Vela and Marcus Island. Pending the making of such a proposal and affirmative action thereon, the United

States will have the right to exercise all and any powers of administration, legislation, and jurisdiction over the territory and inhabitants of these islands, including their territorial waters.

(United Kingdom reserves original paragraph 1 of Article 5 of United Kingdom draft.)

ARTICLE 4

Japan cedes to the Union of Soviet Socialist Republics the Kurile Islands, and that portion of South Sakhalin and the islands adjacent to it over which Japan formerly exercised sovereignty.

ARTICLE 5

(*a*) Except as may be otherwise agreed by the Allied Power concerned and Japan, renounces all rights, titles and interests of Japan and its nationals (including juridical persons) in, and all claims in respect of, property situated in the territories mentioned in Articles 2 and 4 and undertakes to deliver to the Allied Power concerned records, archives and similar property pertaining directly to the government and administration of the areas ceded or renounced.

(*b*) Claims of residents of the territories ceded or renounced pursuant to Articles 2 and 4 hereof against Japan and persons in Japan (except claims arising out of trade and financial relations since 2nd September, 1945) shall be the subject of arrangements between the Allied Power concerned and Japan, taking cognizance of Japanese property in the respective territories renounced by Japan pursuant to paragraph (*a*) above.

(*c*) The disposition of property and claims relating to areas referred to in Article 3 shall be the subject of special arrangements.

(*d*) Japanese submarine cables connecting Japan with territory removed from Japanese control pursuant to the present Treaty shall be equally divided, Japan retaining the Japanese terminal and adjoining half of the cable and the detached territory the remainder of the cable and connecting terminal facilities.

(NOTE.—The problem of Japanese liability for debts in respect of properties in renounced or ceded territories remains to be considered.)

Chapter III.—Security

ARTICLE 6

(*a*) Japan accepts the obligations set forth in Article 2 of the Charter of the United Nations, and in particular obligations—

(i) to settle its international disputes by peaceful means in such a manner that international peace and security, and justice, are not endangered;

(ii) to refrain in its international relations from the threat or use of force against the territorial integrity or political independence of any state or in any other manner inconsistent with the Purposes of the United Nations;

(iii) to give the United Nations every assistance in any action it takes in accordance with the Charter and to refrain from giving assistance to any state against which the United Nations may take preventive or enforcement action.

(*b*) The Allied Powers, for their part, recognise that Japan as a sovereign nation possesses the inherent right of individual or collective self-defence referred to in the Charter of the United Nations and that Japan may voluntarily enter into a collective security arrangement or arrangements participated in by one or more of the Allied Powers.

(NOTE.—Paragraph (*b*) is subject to further consideration by United States.)

ARTICLE 7

(*a*) All armed forces of the Allied Powers shall be withdrawn from Japan as soon as possible after the coming into force of the present Treaty, and in any case not later than 90 days thereafter. Nothing in this provision shall however prevent the stationing or retention of foreign armed forces in Japanese territory under or

in consequence of any bilateral or multilateral agreements which have been or may be made between one or more of the Allied Powers, on the one hand, and Japan on the other.

(*b*) All Japanese property for which compensation has not already been paid, which was supplied for the use of the occupation forces and which remains in the possession of those forces at the time of the coming into force of the present Treaty, shall be returned to the Japanese Government within the same 90 days unless other arrangements are made by mutual agreement.

(NOTE.—This Article is subject to further consideration by the United States.)

Chapter IV.—Political and Economic Clauses

ARTICLE 8

(*a*) Each of the Allied Powers, within one year after the present Treaty has come into force between it and Japan, will notify Japan which of its pre-war bilateral treaties with Japan it wishes to keep in force or revive, and any treaties so notified shall continue in force or be revived subject only to such amendments as may be necessary to ensure conformity with the present Treaty. They shall resume their force three months after the date of notification and shall be registered with the Secretariat of the United Nations. All such treaties not so notified shall be regarded as abrogated.

(*b*) Any notification made under paragraph (*a*) of this Article may, except from the operation or revival of a treaty any territory for the international relations of which the notifying Power is responsible, until three months after notice cancelling this exception is given.

ARTICLE 9

(*a*) Japan undertakes to recognise the full force of all treaties now or hereafter concluded for terminating the state of war initiated on 1st September, 1939, as well as any other arrangements for or in connexion with the restoration of peace. Japan also accepts the arrangements made for terminating the former League of Nations and Permanent Court of International Justice.

(*b*) Japan renounces all such rights and interests as she may derive from being a signatory Power of the Convention of St. Germain-en-Laye of 10th September, 1919, and the Straits Agreement of Montreux of 20th July, 1936, and from Article 16 of the Treaty of Lausanne of 24th July, 1923.

(*c*) Japan renounces all rights, title and interests resulting from the agreement with Germany dated 20th January, 1930, the Convention dated 20th January, 1930, and its Annexes concerning the Bank for International Settlements and the Trust Agreement dated 17th May, 1930. Japan undertakes to notify to the Ministry of Foreign Affairs at Paris, within six months of the coming into force of the present treaty, her renunciation of the rights, title and interests referred to in this paragraph.

(NOTE.—United States reserves its position regarding the Convention of St. Germain-en-Laye and the Bank for International Settlements.)

ARTICLE 10

Japan agrees to enter promptly into negotiations with Allied Powers so desiring for the conclusion of new bilateral or multilateral agreements for the regulation, conservation and development of high seas fisheries.

(NOTE.—United Kingdom reserves original paragraph 2 of Article 34 of United Kingdom draft.)

ARTICLE 11

Japan renounces all special rights and interests in China.

ARTICLE 12

The power to grant clemency, reduce sentences, parole and pardon (the last only when newly-discovered evidence so warrants) with respect to the war crimes sentences imposed by military tribunals of the Allied Powers on persons who are

imprisoned in Japan may not be exercised except on the decision of the Government or Governments which imposed the sentence in each instance, and on the recommendation of Japan. In the case of the persons sentenced by the International Military Tribunal for the Far East, such power may not be exercised except on the decision of a majority of the Governments represented on the Tribunal, and on the recommendation of Japan.

(NOTE.—United Kingdom reserves the first sentence of Article 21 of United Kingdom draft and on the use of the word " pardon.")

ARTICLE 13

(*a*) Japan declares its readiness promptly to enter into negotiations for the conclusion with each of the Allied Powers of treaties or agreements to place on a stable and friendly basis the commercial, maritime and trading relations between them.

(*b*) Pending the coming into force of the relevant treaty or agreement, Japan will, during a period of five years from the coming into force of the present Treaty, accord to each of the Allied Powers and its nationals (including juridical persons), on condition of herself in fact receiving in respect of the same matter national or most-favoured-nation treatment, as the case may be, from the Allied Power concerned:—

(i) most-favoured-nation treatment with respect to customs duties, charges, imports and export restrictions, and all other regulations imposed on or in connection with the importation or exportation of goods;

(ii) national or most-favoured-nation treatment, whichever is the more favourable, with respect to imported products, vessels, property, interests, business, financial, commercial and professional activities in Japan; and with respect to shipping and navigation (including/excluding) coastal and inland navigation: such treatment shall include all matters pertaining to taxation and the levying of taxes, access to the Courts, the conclusion of contracts, the acquisition, ownership and disposal of property of all kinds, the creation of and participation in juridical persons constituted under Japanese law, and the treatment of any such juridical persons in which Allied nationals have a participation.

(*c*) Allied nationals (including juridical persons) shall be granted equitable treatment (which shall not be less than national treatment) in respect of any measures involving the expropriation of their property, rights or interests in Japan. There shall be no such expropriation without the payment of adequate and effective compensation.

(*d*) In the application of this Article, a discriminatory measure shall not be considered to derogate from the grant of national or most-favoured-nation treatment, as the case may be, if such measure is based on an exception customarily provided for in the commercial treaties of the party applying it, or on the need to safeguard that party's external financial position, balance of payments or essential security interests, and provided such measure is proportionate to the circumstances and not applied in an arbitrary or unreasonable manner.

(*e*) Where an Allied Power has responsibility for the international relations of non-metropolitan or overseas territories, or consists of a federal state, lack of reciprocity afforded to Japan in one or more of such territories or in one or more of the constituent States of the federation shall not constitute a ground for the refusal by Japan of the treatment provided for by paragraph (*b*) of this Article to the other territories (including the metropolitan territory itself), or to the other states, or to persons, vessels, or juridical persons resident, registered, or constituted in such other territories or states as the case may be, or to the federal government. Similarly, lack of reciprocity on the part of the metropolitan territory or federal government shall not of itself be a ground for the refusal of the said treatment to the other territories or constituent states, or to persons, vessels or juridical persons resident, registered or constituted in such other territories or states, as the case may be.

(*f*) Japan's obligations under paragraph (*b*) of this Article shall not be affected by the exercise of any Allied rights under Article 15 of the present Treaty; nor shall

the provisions of that paragraph be understood as limiting the undertakings assumed by Japan by virtue of Article 16 of the Treaty.

(NOTE.—The references to Articles 15 and 16 in paragraph (*f*) are understood by the United Kingdom as references to Articles 27 and 26 respectively of the United Kingdom draft. Article 13 is subject to further consideration on the part of both Governments.)

ARTICLE 14

Pending the conclusion of civil air transport agreements, Japan, during a period of five years, shall extend to each of the Allied Powers not less favourable international civil air traffic rights and privileges than those they respectively exercised at the time of coming into force of the present Treaty.

(NOTE.—United Kingdom reserves Article 33 of the United Kingdom draft.)

Chapter V.—Claims and Property

ARTICLE 15

(*a*) The Allied Powers recognise that Japan lacks the capacity to make payments in bullion, money, property or services which would enable Japan to maintain a viable economy, to meet its obligations for relief and economic assistance furnished since 2nd September, 1945, in furtherance of the objectives of the occupation, and also to make adequate reparation to the Allied Powers for war damage. However, each of the Allied Powers shall have the right to seize, retain, liquidate or otherwise dispose of all property, rights, and interests of Japan and of Japanese nationals (including juridical persons) which at any time between 7th December, 1941, and the coming into force of the present Treaty were subject to its jurisdiction, except—

(i) property of Japanese nationals permitted to reside during the war in the territory of one of the Allied Powers, except property subjected during that period to measures not generally applicable to the property of Japanese nationals resident in such territory;

(ii) all real property, furniture and fixtures owned by the Government of Japan and used for diplomatic or consular purposes, and all personal furniture and furnishings and other property not of an investment nature which was normally necessary for the carrying out of diplomatic and consular functions, owned by Japanese diplomatic and consular personnel;

(iii) property belonging to religious bodies or private charitable institutions and used exclusively for religious or charitable purposes;

(iv) property rights arising out of the resumption of trade and financial relations between the country concerned and Japan or acquired pursuant to authorisation by the country concerned before the coming into force of the present Treaty.

Property referred to in this paragraph shall be returned net of any expenses incident to its preservation. If any such property has been liquidated the proceeds shall be returned instead.

(*b*) The right to seize, retain, liquidate or otherwise dispose of Japanese property referred to in paragraph (*a*) above shall be exercised in accordance with the laws of the Allied Power concerned, and the Japanese owner shall have only such rights as may be given him by those laws.

(*c*) The Allied Powers agree to deal with Japanese trademarks and literary and artistic property rights on a basis as favourable to Japan as circumstances ruling in each country will permit.

(NOTE.—The foregoing suggestions regarding reparations are made subject to current exchanges of views.)

(NOTE.—United Kingdom reserves Articles 23 and 28 of United Kingdom draft and the question of dates in this and other relevant Articles.)

(NOTE.—United States reserves its position with respect to the following of assets into Japan.)

ARTICLE 16

Within six months [one year] from the coming into force of the present Treaty Japan will, upon demand, return the property, tangible and intangible, and all rights or interests of any kind, in Japan of each Allied Power and its nationals (including juridical persons) within Japan between 7th December, 1941, and 2nd September, 1945, unless the owner has freely disposed thereof without duress or fraud. In the case of loss or damage to property of nationals (including juridical persons) of Allied Powers in Japan compensation will be made in accordance with Japanese domestic legislation in yen subject to Japanese foreign exchange regulations.

(NOTE.—This Article is dependent on the nature of the legislation to be passed by Japan. In the meantime the United Kingdom maintains Articles 24 and 26 of the United Kingdom draft, and also reserves on the drafting of the present Article. The United States is preparing a draft on patents and trademarks, and the United Kingdom on literary and artistic property and insurance deposits and reserves, for inclusion in the present Chapter.)

(NOTE.—A stipulation regarding immunity from taxes, levies or other charges along the lines of paragraphs 4(*c*) and 6 of Article 26 of the United Kingdom draft may have to be included if satisfactory provision on this point is not included in the Japanese domestic legislation.)

ARTICLE 17

(*a*) Upon the request of any of the Allied Powers, the Japanese Government shall review and revise in conformity with international law any decision or order of the Japanese Prize Courts in cases involving ownership rights of nationals (including juridical persons) of that Allied Power and shall supply copies of all documents comprising the records of these cases, including the decisions taken and orders issued. In any case in which such review or revision shows that restoration is due, the provisions of Article 16 shall apply to the property concerned.

(*b*) The Japanese Government shall take the necessary measures to enable nationals (including juridical persons) of any of the Allied Powers at any time within one year from the coming into force of the present Treaty to submit to the appropriate Japanese authorities for review any judgment given by a Japanese court between 7th December, 1941, and the coming into force of the present Treaty in any proceedings in which any such national was unable to make adequate presentation of his case either as plaintiff or defendant. The Japanese Government shall provide that, where the national has suffered injury by reason of any such judgment, he shall be restored in the position in which he was before the judgment was given or shall be afforded such relief as may be just and equitable in the circumstances.

(NOTE.—A reference to paragraph (*a*) should be included in paragraph 1 of Article 35 of the United Kingdom draft to provide for settlement of any dispute as to the rule of international law to be applied.)

ARTICLE 18

(*a*) Japan recognises that the intervention of the former state of war does not affect the obligation of the Japanese Government or of Japanese nationals (including juridical persons) to pay debts and perform other contractual obligations, including those in respect of bonds, or to consider on their merits claims for loss or damage to property, or for personal injury or death, which arose before the existence of a state of war and which may be due to or may be presented by the Government or nationals (including juridical persons) of an Allied Power.

(*b*) Japan affirms its liability for the pre-war external debt of the Japanese State and for debts of corporate bodies subsequently declared to be liabilities of the Japanese State and expresses its intention to enter on negotiations at an early date with its creditors with respect to the resumption of payments on those debts; agrees to facilitate negotiations in respect of private pre-war claims and obligations; and agrees to facilitate the transfer of sums as to which liability has been recognised or may be established.

(NOTE.—Problem of Japanese liability for debts in respect of properties in renounced or ceded territories remains to be considered.)

ARTICLE 19

(*a*) Japan waives all claims of Japan and its nationals (including juridical persons) against the Allied Powers and their nationals (including juridical persons) arising out of the war, and waives all claims arising from the presence, operations or actions of forces or authorities of any of the Allied Powers in Japanese territory prior to the coming into force of the present Treaty.

(*b*) The foregoing waiver includes any claims arising out of actions taken by any of the Allied Powers with respect to Japanese ships between 1st September, 1939, and the coming into force of the present Treaty, as well as any claims and debts arising out of the Conventions on prisoners of war now in force.

(*c*) The Japanese Government also renounces all claims (including debts) against Germany and German nationals (including juridical persons) on behalf of the Japanese Government and Japanese nationals (including juridical persons) with the exception of claims arising from contracts and rights acquired before 1st September, 1939, but including intergovernmental claims and claims arising from contracts and rights acquired before 1st September, 1939, but including intergovernmental claims and claims for loss or damage sustained during the war.

(NOTE.—United States desires to consider further paragraphs (*b*) and (*c*).)

ARTICLE 20

Japan agrees to take all necessary measures to ensure such disposition of German assets in Japan as has been or may be determined by those powers entitled under the Protocol of the proceedings of the Berlin Conference of 1945 to dispose of those assets, and pending the final disposition of such assets to be responsible for the conservation and administration thereof.

Chapter VI.—Settlement of Disputes

ARTICLE 21

If in the opinion of any Party to the present Treaty there has arisen a dispute concerning the interpretation or execution of the Treaty, which is not settled by other agreed means, the dispute shall, at the request of any party thereto, be referred for decision to the International Court of Justice. Japan and those Allied Powers which are not already parties to the Statute of the International Court of Justice will deposit with the Registrar of the Court, at the time of their respective ratifications of the present Treaty, and in conformity with the resolution of the United Nations Security Council, dated 15th October, 1946, a general declaration accepting the jurisdiction, without special agreement, of the Court generally in respect of all disputes of the character referred to in this Article.

(NOTE.—United Kingdom reserves paragraph 1 of Article 35 of the United Kingdom draft.)

Chapter VII.—Final Clauses

ARTICLE 22

The present Treaty shall, until it comes into force in accordance with Article 23, paragraph (*a*), remain open for signature on the part of any State at war with Japan. It shall thereafter be open to accession by any such State which has not signed it. All signatory and acceding States shall be deemed to be Allied Powers for the purposes of the Treaty.

ARTICLE 23

(*a*) The present Treaty shall be ratified by the States which sign it, including Japan, and will come into force for all the States which have then ratified it, when instruments of ratification have been deposited by Japan and by a majority, including the United States of America as the principal occupying Power, of the following Powers, namely, Australia, Burma, Canada, Ceylon, China, France, India, Indonesia, [Korea], the Netherlands, New Zealand, Pakistan, the Philippines, the United Kingdom of Great Britain and Northern Ireland, the Union of Soviet Socialist Republics and the United States of America. It shall come into force for each State

which subsequently ratifies or accedes on the date of the deposit of its instrument of ratification or accession.

(*b*) If the Treaty has not come into force within nine months after the date of the deposit of Japan's ratification, any State which has ratified or which is entitled to accede to it may bring the Treaty into force between itself and Japan by a Notification to that effect given to the Governments of Japan and of the United States of America.

ARTICLE 24

All instruments of ratification or accession shall be deposited with the Government of the United States of America which will give notice of them and of the date of their deposit, as also of any notifications made under paragraph (*b*) of Article 23, to all the signatory and acceding States.

ARTICLE 25

Except for the provisions of Article 11 hereof, the present Treaty, shall not confer any rights, titles or benefits on any State unless and until it signs and ratifies or accedes to the Treaty; nor, with that exception, shall any right, title or interest of Japan be deemed to be diminished or prejudiced by any provision of the Treaty in favour of a State which does not sign and ratify, or accede to it.

ARTICLE 26

The present Treaty shall remain deposited in the archives of the Government of the United States of America by whom each signatory State will be furnished with a certified copy and will be notified of the date of the coming into force of the Treaty under paragraph (*a*) of Article 23.

In faith whereof the undersigned Plenipotentiaries have signed the present Treaty and have affixed thereto their seals.

Done at ..... this ..... day of ....., 1951, in the English and Japanese languages, the English text being authentic.

(The substance of Annex III of the United Kingdom draft (Contracts of Insurance) will be incorporated in Annex V (Contracts, &c.) which will then be circulated to the other Powers with the draft Treaty and will form the subject of a separate multilateral protocol to be signed by Japan and the other interested Powers at the same time as the Peace Treaty.)

15

PROTOCOL

With respect to the Treaty of Peace signed this day, the Government of Japan makes the following Declaration:—

1. Except as otherwise provided in the said Treaty of Peace, Japan recognises the full force of all presently effective international instruments to which she was a party on 1st September, 1939, and declares that she will, on the coming into force of the said Treaty, resume all her rights and obligations under those instruments. Where, however, participation in any instrument involves membership in an international organisation of which Japan ceased to be a member on or after 1st September, 1939, the provisions of the present paragraph shall be dependent on Japan's readmission to membership in the organisation concerned.

2. It is the intention of the Japanese Government formally to accede to the following international instruments within six months of the coming into force of the Treaty of Peace:—

(1) The International Convention for the regulation of whaling signed at Washington on 2nd December, 1946, as subsequently amended;
(2) The Protocol amending the 1931 Narcotics Convention signed at New York on 11th December, 1946;
(3) The Protocol on the Traffic in Synthetic Drugs signed at Paris on 19th November, 1948;
(4) Customs Formalities Convention, 1923;
(5) The International Convention on the Execution of Foreign Arbitral Awards of 1927;
(6) Convention relating to economic statistics, 1928 and Protocol 1948;
(7) Agreement on false indications of origin, 1934;
(8) Convention establishing uniform rules with respect to assistance and salvage at sea, 1910;
(9) International load line convention, annexes and final act, 1930, as subsequently amended;
(10) Each of the four Conventions on conduct in time of war signed at Geneva on 12th August, 1949.

3. It is equally the intention of the Japanese Government, within six months of the coming into force of the Treaty of Peace, to apply for Japan's admission to participation in the Convention on International Civil Aviation opened for signature at Chicago on 7th December, 1944, and as soon as Japan is herself a party to that Convention, to sign and accept the International Air Services Transit Agreement also opened for signature at Chicago on 7th December, 1944.

(NOTE.—The composition of the list in paragraph 2 is subject to further consideration. The United Kingdom may raise a point in connection with paragraph 1 on industrial, literary and artistic property.)

PROTOCOL

With respect to the Treaty of Peace signed this day, the Government of Japan makes the following Declaration:—

Japan will recognise any Commission, Delegation or other Organisation authorised by any of the Allied and Associated Powers to identify, list, maintain or regulate its war graves, cemeteries and memorials in Japanese territory; will facilitate the work of such Organisation, and will, in respect of the above-mentioned war graves, cemeteries and memorials, enter into negotiations for the conclusion of such agreements as may prove necessary with the Allied or Associated Power concerned, or with any Commission, Delegation or other Organisation authorised by it.

ANNEX B

Outstanding Points on the Text of the Treaty

The Ryukyu, Bonin and other islands

1. It was stated in the Cairo Declaration of 1943 and the Potsdam Proclamation of July 1945, that Japanese sovereignty should be confined to the four main islands and to a number of adjacent minor islands to be defined in the Treaty. On 2nd January, 1951, the Cabinet approved a proposal (C.P. (50) 323, paragraph 8 (*b*) (ii)) that the Ryukyu and Bonin Islands should be placed under a United States trusteeship. A provision to the following effect was accordingly included in article 5 of the United Kingdom draft treaty:

"Article 5

(1) Japan renounces sovereignty over, and all right, title and interest in the Ryukyu, Bonin and Volcano Islands, and Marcus Island.
(2) Japan takes note of the intention of the United States Government to negotiate a United Nations trusteeship agreement in respect of the Ryukyu and Bonin Islands when this present treaty has come into force."

2. In the talks between officials in Washington, the United States representatives put forward a fresh draft article about the future of the Ryukyu, &c., islands, which runs as follows:—

"Japan will concur in any proposal of the United Nations to place under its trusteeship system, with the United States as the administering authority, the Ryukyu Islands south of 29° north latitude, the Bonin Islands, including Rosario Island, the Volcano Islands, Parece Vela and Marcus Island. Pending the making of such a proposal and affirmative action thereon, the United States will have the right to exercise all and any powers of administration, legislation, and jurisdiction over the territory and inhabitants of these islands, including their territorial waters."

After consulting the Foreign Office by telegraph, the United Kingdom representatives reserved their position on this point.

3. As will be seen, the United States article proposes:—

(1) that Japan should retain sovereignty over the islands in question;
(2) that the islands continue under United States administration;
(3) that the United States may try to obtain trusteeship over the islands.
(It is in fact doubtful whether the United States could secure trusteeship over islands which remained under Japanese sovereignty.)

The United States representatives explained the intention behind this article as follows. They do not wish the Ryukyus and other islands concerned to be removed by the Treaty from Japan's sovereignty since possible future changes in military technique may turn the islands into a liability instead of an asset from the United States point of view; and this being so, the United States Government think it desirable to mitigate the political effect in Japan of the territorial provisions of the Treaty by not insisting on a renunciation of Japanese sovereignty over the islands in question. The United States Government have, however, every intention of retaining the administration of the islands for as long as can at present be foreseen.

4. Our view is that this proposed arrangement might create serious legal difficulties and complications between the United States and Japan. It would, therefore, appear preferable on general grounds to adhere to the policy previously endorsed by His Majesty's Government, namely, that in the Treaty Japan should renounce sovereignty over the Ryukyu, Bonin, &c., Islands and if possible, agreement should be recorded that they should be placed under United States trusteeship. This view was put to the United States representatives during the talks in Washington, but with no effect.

5. It appears difficult for us to insist further with the United States about where we feel their own advantage lies in a matter of relatively small direct concern to ourselves, and it is, therefore, recommended that we should now accept the United States proposal.

The Japanese Gold

6. It will be recalled that, when the subject was discussed by the Cabinet on 23rd April (C.M. (51) 30th Conclusion, Minute 4, and paragraph 5 (i) of C.P. (51) 104), the Chancellor of the Exchequer said that he was not in favour of abandoning at the outset our claim to a share in the stocks of Japanese gold; we might have to agree to this in the end, but our representatives should not concede it without argument. This view was endorsed by the Cabinet. Our representatives in Washington put our case as strongly as possible to the Americans, but were unable to move them, and it will be seen that they therefore reserved this point on behalf of His Majesty's Government. (Please see note at end of article 15 of the draft at Annex A, referring to article 23 of the United Kingdom draft.) The United States representatives on their side explained that the gold, which is worth about $200 million, while it would be of no appreciable use in meeting the claims of all the belligerent countries against Japan (altogether apart from the practical problem of its distribution) would be of great and immediate value to Japan in bolstering up her external financial position.

7. As will be remembered, the United States Government had previously stated in their aide-mémoire of 14th March that they must insist that, should Japanese gold be made available as reparations, the whole of it should be made over to the United States as a part repayment of the $2,000 million aid given to Japan in the last five years.

8. There are, therefore, two questions for consideration: first, whether or not the stocks of gold and precious metals under the control of the Supreme Commander in Japan should be made available as reparations; and, secondly, if they are to be made available, whether His Majesty's Government can succeed in securing a share of them.

9. To deal with the second point first, it now seems clear that, if the gold were made available as reparations, it would be impossible, in view of the attitude of Congress, for His Majesty's Government to resist the United States claim to receive it all as a very small set-off against the aid she had given to Japan during the last five years.

10. If, therefore, as seems certain, His Majesty's Government cannot hope to secure a share of Japanese gold, the question remains whether the Japanese should be allowed to retain it. Morally, there are strong arguments for requiring the Japanese to make this small if inadequate reparation for the great damage they caused in Asia during the war. It will be recalled that the Government of Australia has been insistent that Japan should be made to pay some reparations. On the other hand, it is also clear that the United States Government are determined that this gold should remain in Japan, and it would therefore seem unwise for His Majesty's Government to court unpopularity in Japan by insisting that, even though they themselves would not receive a share of it, Japan must, nevertheless, be deprived of it.

11. It is evident that, in spite of the forceful and repeated exposition of our view in the course of the talks in Washington, the United States Government are not going to be moved from their position on this point. In the circumstances it is recommended that, in the talks with Mr. Dulles, our representatives should be authorised to agree with the United States view that the matter should not be mentioned in the Treaty, which would have the effect of returning the gold and precious metals concerned to the Japanese Government when the Treaty comes into effect.*

Japanese Assets in Neutral Countries

12. On 2nd January, Ministers approved C.P. (50) 323 which contained a proposal (paragraph 8 (*d*) 2) that "Japanese overseas assets (both official and private) should in no circumstances be returned to Japan or to their Japanese owners . . . . Japanese assets in neutral countries . . . . are in most cases under the joint control of the representatives of China, the U.S.S.R., the United States and the United Kingdom, on behalf of the Far Eastern Commission. However, the only practical way of making those assets available at all would be to propose that they should be liquidated and divided amongst those of the four controlling Powers for

* NOTE.—It has not been possible to secure agreement with the Treasury at the official level on this recommendation.

Japanese official assets represented in those countries." (C.M. (51) 1st Conclusion, Minute 3.) This proposal became article 28 of the United Kingdom draft Peace Treaty (C.P. (31) 104, Annex A).

13. This article was discussed on 27th April at Washington. The United States Representatives considered it impractical for the following reasons:—

(*a*) The sum involved amounted to about 20 million dollars in six neutral countries and Siam. (In round figures, the amount is probably slightly under £7 million).

(*b*) The liquidation of these assets might be disproportionately expensive, which would leave only a small sum for division amongst the major treaty-making Powers.

(*c*) The division amongst the Allied Powers would give rise to prolonged argument (the Far Eastern Commission after two and a half years of discussion had failed to reach agreement on reparation shares.)

The United States Representatives were sympathetic towards His Majesty's Government's claim for restitution of about £300,000 worth of Swiss francs from these assets, which represent payments made by them to the Japanese Government during the war for the relief of civilians and prisoners of war in Japanese hands. The United States Representatives suggested, however, that this question might be settled by a separate bilateral Anglo-Japanese arrangement.

14. The United States Representatives remained unwilling to accept the arguments put forward by His Majesty's Representatives that administrative difficulties should not be held to outweigh the principle that the Allies were entitled to these assets (which had been under Allied control since 1945), as reparations. The argument that His Majesty's Government would find it difficult to defend a Peace Treaty which allowed these assets to be returned to Japan was received with some sympathy but did not prove convincing.

15. It has thus become clear that the United States Government are unlikely to accept our view on this point. Since the United States argument is based mainly on the administrative difficulty of obtaining and liquidating the assets in question (these difficulties are not small owing to the fact that the agreement of the U.S.S.R. and China would be necessary to unfreeze the most valuable assets which are in Switzerland, Sweden, and Afghanistan), it is submitted that we should now propose a composition. The United States Representatives might be informed that His Majesty's Government would be prepared to agree to Japanese assets in neutral countries being left to Japan by the Peace Treaty, provided Japan were obliged to pay to the Allies a total sum of about 20 million dollars to cover their value. Out of this amount, His Majesty's Government would, of course, expect to receive immediately the value of the Swiss francs held by Japan in Switzerland in respect of payments for the relief of prisoners of war. The division of the rest of this sum amongst the Far Eastern Commission Powers might take some time, but it is not considered that these difficulties would be insuperable.

16. It is recommended that His Majesty's Representatives should be authorised to put this proposal to Mr. Dulles as an alternative to that contained in Article 28 of the United Kingdom draft treaty.

Machinery for the Settlement of Disputes

17. On 2nd January the Cabinet approved a proposal (C.P. (50) 323, paragraph 8 (*n*)) that "claims disputes arising out of the Peace Treaty should be settled by a special neutral tribunal to be set up by the President of the International Court of Justice, and other disputes arising out of the Treaty should be referred either to diplomatic settlement or to the International Court of Justice." This proposal was embodied in the United Kingdom draft treaty as Article 35 (C.P. (51) 104, Annex A).

18. During the recent conversations in Washington, the United States Representatives were opposed to providing in the Treaty for the reference of claims disputes to a special tribunal. The United Kingdom argument that provision for such a tribunal would be useful since cases arising out of the claims and restitution articles of the Treaty might not, in many cases, be susceptible of a purely judicial decision by the International Court, while not rejected, have not yet been accepted by

the United States Representatives. No further communication has been received from the United States Government as to their attitude on this question.

19. If nothing further is received before Mr. Dulles comes to London on 2nd June, it is suggested that an attempt should be made to convince the United States Government of the utility of the provision contained in Article 35 (1) of the United Kingdom draft. The United States Representatives may, however, be inclined to insist that the Treaty should contain provision only for reference to the International Court if other agreed means of settlement (*e.g.*, reference to conciliation) prove ineffective.

20. The first sentence of Article 21 of the draft Treaty at (Annex A) states "if, in the opinion of any party to the present treaty, there has arisen a dispute concerning the interpretation or execution of the treaty which is not settled by *other agreed means* the dispute shall, at the request of any party thereto, be referred for decision to the International Court of Justice." This formula would not rule out the reference of claims disputes to a neutral tribunal by agreement between the States concerned and Japan. If, therefore, the United States Representatives remain strongly averse to lengthening the treaty, by the inclusion of United Kingdom Article 35 (i), it is recommended that the form of words quoted above should be accepted.

.R.